

# Session 4.2: Comprehensive Case: Apple

Walled garden ecosystems, hardware anchors, App Store antitrust, and EU DMA compliance.

PART 1 (LECTURE)  
**60 Minutes**

PART 2 (LAB PRACTICE)  
**60 Minutes**

PART 3 (EXECUTIVE MEMO)  
**60 Minutes**

STANDARD  
**Audited SEC Filings**

# Learning Objectives & Executive Overview

Clear conceptual grounding for undergraduate and graduate business students.

CORE COMPETENCIES

Goals

## What You Will Master Today

- **Theoretical Mastery:** Evaluate seminal literature and analytical frameworks governing platform competition.
- **Empirical Rigor:** Reconcile management strategic claims with legally audited statutory filings.
- **Data Modeling:** Execute spreadsheet calculations with explicit coordinates and formula logic.
- **Executive Formulation:** Deliver structured board-level recommendations resolving complex trade-offs.

WALLED GARDEN DYNAMICS

Vocabulary

## Key Topical Foundations

- **Ecosystem Lock-In::** Hardware anchor hub for complements (Watch, AirPods, Mac).
- **Monetization Engine::** Installed base of 2B+ active devices monetized via Services.
- **Developer Commission::** In-App Purchase (IAP) mandate with 30% digital fee.
- **Micro-Examples::** Apple Pay NFC control, iCloud tiering, Epic Games litigation.

# Theoretical Foundations: Walled Garden Dynamics

Rigorous analytical frameworks and literature benchmarks.

## THEORETICAL ARCHITECTURE

Literature

### Seminal Framework Insights

- **Ecosystem Lock-In::** Hardware anchor hub for complements (Watch, AirPods, Mac).
- **Monetization Engine::** Installed base of 2B+ active devices monetized via Services.
- **Developer Commission::** In-App Purchase (IAP) mandate with 30% digital fee.
- **Micro-Examples::** Apple Pay NFC control, iCloud tiering, Epic Games litigation.

## STRATEGIC APPLICATION

Analysis

### Business Model Mechanics

- **Hardware Saturation (2016)::** Smartphone unit growth plateaued; Services emphasized.
- **Margin Contrast::** Hardware gross margins ~36% vs. Services gross margins >70%.
- **Regulatory Challenge::** EU Digital Markets Act (DMA) mandating sideloading & alt stores.
- **Platform Counter-Move::** Introducing 0.50 euro Core Technology Fee per install.

## STRATEGIC TAKEAWAY

Walled garden ecosystems, hardware anchors, App Store antitrust, and EU DMA compliance.

# Enterprise Case Dissection: Apple Services Shift

Historical case evidence and multi-year corporate trajectory analysis.

## CORPORATE DYNAMICS

### Timeline

### Market Conditions & Strategic Moves

- **Hardware Saturation (2016)::** Smartphone unit growth plateaued; Services emphasized.
- **Margin Contrast::** Hardware gross margins ~36% vs. Services gross margins >70%.
- **Regulatory Challenge::** EU Digital Markets Act (DMA) mandating sideloading & alt stores.
- **Platform Counter-Move::** Introducing 0.50 euro Core Technology Fee per install.

## ANALYTICAL FOCUS

### Evidence

### Operational & Financial Findings

- **Apple 10-K Data::** Products vs. Services revenue and cost of sales (2020-2024).
- **Gross Margins::** Calculating Products GM % and Services GM %.
- **Margin Spread::** Quantifying the 35+ percentage point spread in Services.
- **Valuation Multiple::** Analyzing PE multiple expansion as Services hit \$96B.

# Lab Dataset & Empirical Metrics: Applied Excel Lab

Reconciling corporate filings with explicit spreadsheet formulas.

## SPREADSHEET MODELING

Lab Spec

### Data Metrics & Formulas

- **Apple 10-K Data::** Products vs. Services revenue and cost of sales (2020-2024).
- **Gross Margins::** Calculating Products GM % and Services GM %.
- **Margin Spread::** Quantifying the 35+ percentage point spread in Services.
- **Valuation Multiple::** Analyzing PE multiple expansion as Services hit \$96B.

## MANAGEMENT DILEMMA

Decision Lab

### Strategic Tension

- **DMA Fee Reduction Simulation::** Modeling EU App Store take rate cut from 30% to 12%.
- **Gross Profit Impact::** Quantifying annual dollar impact on Apple gross profit.
- **Core Technology Fee Audit::** Assessing whether 0.50 euro fee escalates regulatory conflict.
- **Executive Memo::** Strategic roadmap for preserving walled garden platform economics.

# Executive Problem Solving: Executive Lab

Framing complex management dilemmas and evaluating corporate trade-offs.

EXECUTIVE CHALLENGE

Dilemma

## Corporate Strategic Tension

- **DMA Fee Reduction Simulation::** Modeling EU App Store take rate cut from 30% to 12%.
- **Gross Profit Impact::** Quantifying annual dollar impact on Apple gross profit.
- **Core Technology Fee Audit::** Assessing whether 0.50 euro fee escalates regulatory conflict.
- **Executive Memo::** Strategic roadmap for preserving walled garden platform economics.

EVALUATION RUBRIC

Requirements

## Board-Level Deliverable

- **Actionable Recommendation:** Formulate a concrete 3-bullet decision brief for senior leadership.
- **Quantitative Defense:** Support recommendations using audited financial metrics from the lab spreadsheet.
- **Risk Mitigation:** Address channel friction, partner resistance, or competitive retaliation.
- **Implementation Timeline:** Define immediate 90-day execution milestones.

# Lab Transition: 120-Minute Hands-On Execution

Transitioning from lecture observation to hands-on data manipulation and strategic decision-making.

## EXERCISE 1: FOUNDATIONAL PRACTICE

60 Min Lab

### Applied Excel Lab

Hands-on spreadsheet protocol using audited historical numbers:

- **Apple 10-K Data::** Products vs. Services revenue and cost of sales (2020-2024).
- **Gross Margins::** Calculating Products GM % and Services GM %.
- **Margin Spread::** Quantifying the 35+ percentage point spread in Services.
- **Valuation Multiple::** Analyzing PE multiple expansion as Services hit \$96B.

## EXERCISE 2+: ADVANCED PROBLEM SOLVING

60 Min Memo

### Executive Lab

Applied scenario analysis, trade-off evaluation, and executive brief:

- **DMA Fee Reduction Simulation::** Modeling EU App Store take rate cut from 30% to 12%.
- **Gross Profit Impact::** Quantifying annual dollar impact on Apple gross profit.
- **Core Technology Fee Audit::** Assessing whether 0.50 euro fee escalates regulatory conflict.
- **Executive Memo::** Strategic roadmap for preserving walled garden platform economics.